

Money Mistake: You Don't Invest Because You Don't Know How

THE FIX: INVEST LIKE A WOMAN

Want more controversy? Here goes: I believe women make better investors than men. I am speaking from personal evidence, as someone who has seen a lot of investment portfolios. When a portfolio impresses me with its diversification, its risk profile, and its commitment to capital preservation, it has invariably been owned by a woman. Now, why is that? I believe it stems from the notion that historically, at least, a woman's finances have always been more precarious than a man's. Hence, it seems that some women value security more and therefore take fewer risks when it comes to managing their investments. Also, women who are the primary caregivers of the family don't invest thinking only of themselves. They tend to invest more broadly, and more conservatively.

Here is my own investment rule of thumb: *Never invest more than 5 percent into any one stock and never more than 20 percent into any one sector.* Time and again, when I see a portfolio with 80 percent of someone's money invested in one sector, it is a man who's assuming this kind of risk.

My mother protected her principal at all costs. If she put capital at risk, she needed to be paid to do that in the form of dividends or interest. Maybe the reason I had always resisted that kind of investing was that there seemed to be something almost stereotypically feminine about it, not "risky" or "driven."

My tune has changed dramatically.

I talked about getting to a point in life where you are no longer paying anything—anything but taxes. This is how you start to tip the balance back in your favor. As an investor, quite simply, you must get paid something for that risk. The sooner in life you start investing, the sooner you can tip that scale away from paying interest on loans and mortgages, and start getting paid for waiting it out with your money deployed. There are exceptions. Gold, for instance. I do own gold in my portfolio. In fact, 5 percent of my portfolio is composed of this security. It does not pay a dividend, but I like to think that it provides